

Fearnleys Dry Bulk Weekly

Dec 17, 2024

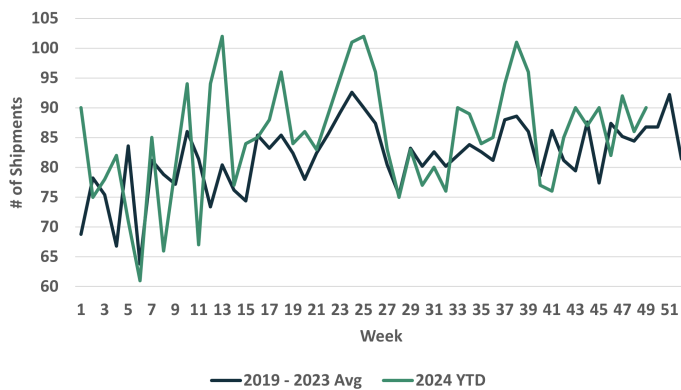
Bernhard Baardson

Capesize/Newcastlemax

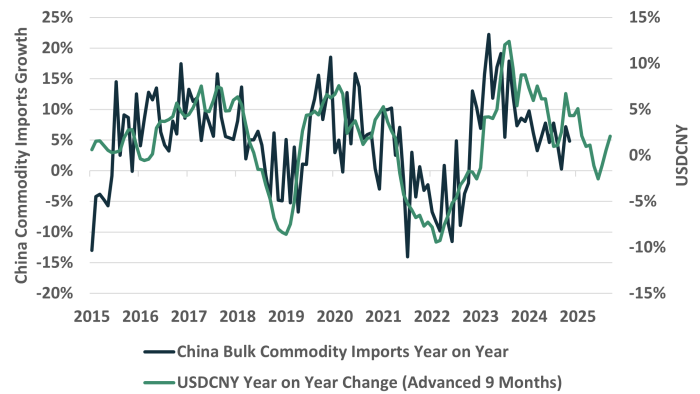
Last week, we wrote the following: *More announcements have come since last week regarding China's stimulus measures. The most important one was a statement from the PBOC suggesting they might allow the currency to weaken next year. Our previous two monthly reports covered why the USDCNY is an important factor for dry bulk markets. Regarding spot markets, we do not see any sign of a late-year bounce, so most likely the markets will continue falling into January.*

Spot markets remain weak, the downturn is likely to continue, and we are likely in for a very weak January. However, blast furnace output in China made the first positive year-on-year change of 2024 in the last two weeks, and the 3-month lead of the iron ore price point to some activity in February and March. So, there are some early pointers to 2025 not turning out disastrously bearish, but still very likely to average well below this year. We assume a mid-teens average in our monthly reports.

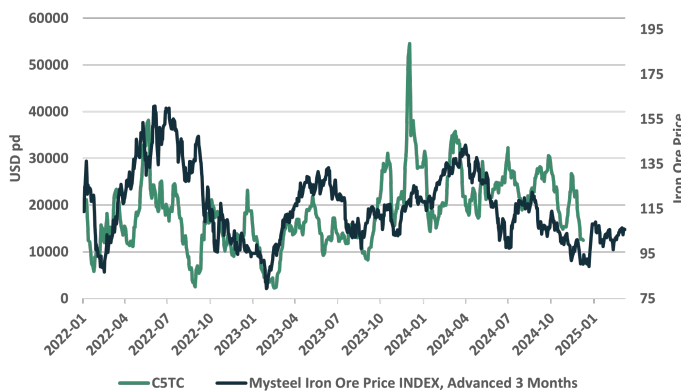
Australia Iron Ore Export Seasonality



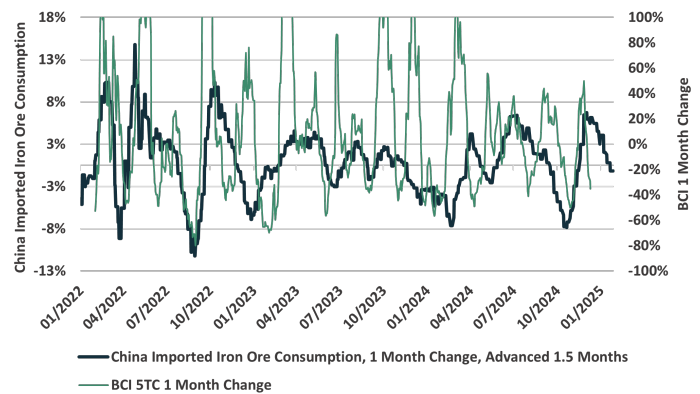
China Bulk Commodity Imports Year on Year vs USDCNY Year on Year, 9 Months Lead



Iron Ore Price Lead vs BCI5TC



China Imported Iron Ore Consumption Lead vs BCI5TC 1 Month Change

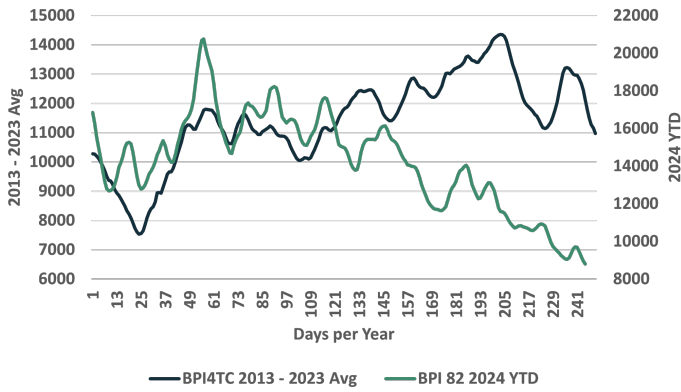


Panamax/Kamsarmax

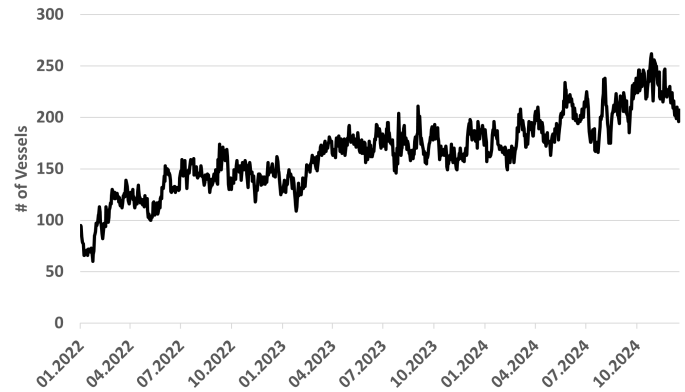
Forecasts by the International Grains Council for the upcoming Brazilian Soybean export season are for volumes to reach record highs. Cargoes might start appearing imminently, then steadily increase until a seasonal peak probably during April. A rally might therefore materialize soon after the end of Chinese New Year.

Before then, we expect the bearish market environment to continue. Since 2018, January has averaged 18% lower than December.

Panamax / Kamsarmax Market Seasonality



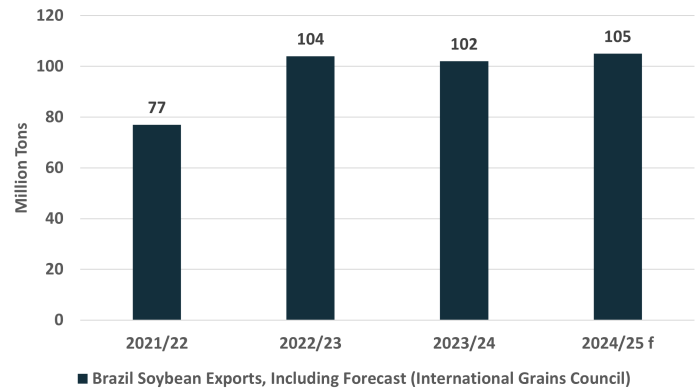
Panamax / Kamsarmax Laden With Coal to China or India



Panamax / Kamsarmax Ballasting to Brazil



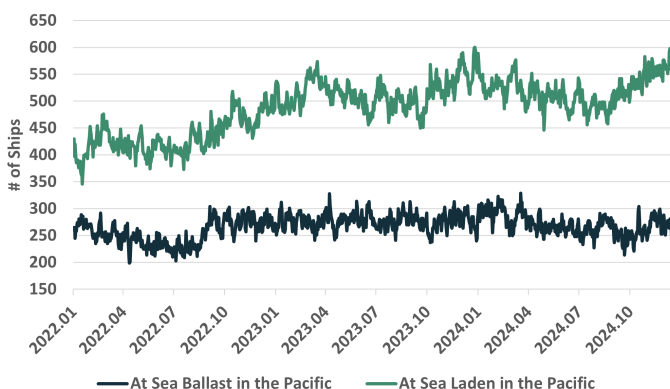
Brazil Soybean Exports by Season, and 24/25 Projection (IGC)



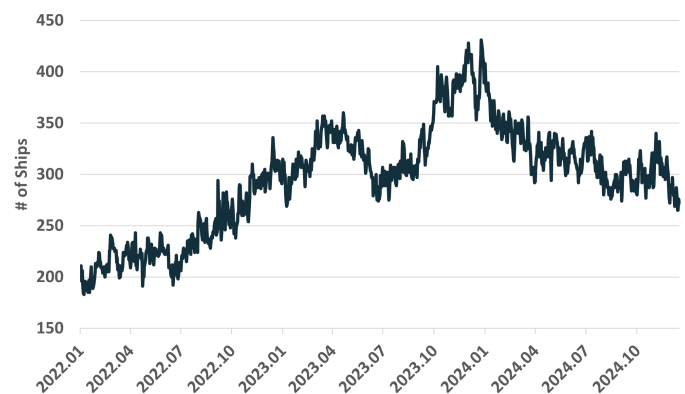
Supramax/Ultramax

Since 2018, the BSI-58 index has averaged 23% lower in January than in December, on average. That implies the Ultramax index could average below 10,000 USD pd in January. Given recent developments in industrial metals prices and the high inventories of coal in China, this does not seem unlikely.

Supramax / Ultramax Ballast or Laden in the Pacific

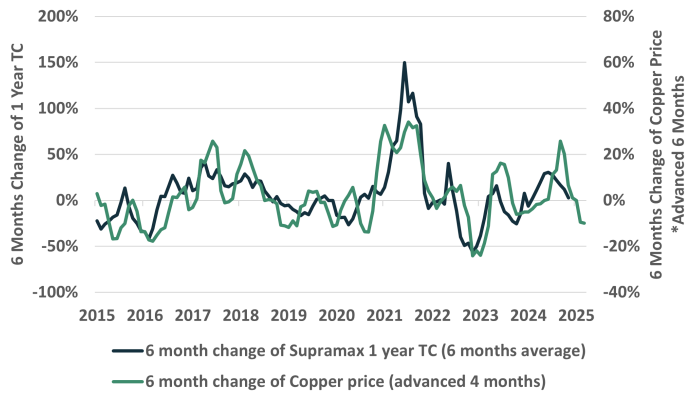


Supramax / Ultramax Laden to China

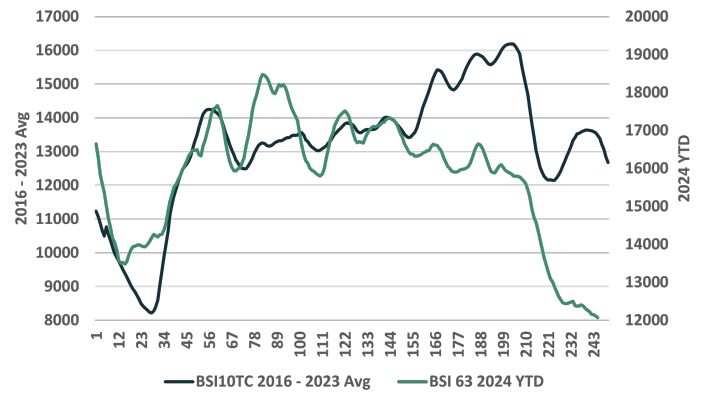




Copper Price Lead vs Supramax 1 Year TC 6 Months Change



Supramax / Ultramax Seasonal Average





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